Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$82.33 ▼ 2.66%	12M Price Target	52-Week Range	Market Cap
		$88.00	$63.52 – $139.75	$74.14B

HOOD: Margin Loans Boom, But Crypto Softness Lingers

WHAT HAPPENED

- HOOD dipped 2.66% to $82.33 despite genuinely bullish news — margin balances (money users borrow from HOOD to buy stocks, which HOOD earns interest on) just hit $23B. That's a massive high-margin revenue stream growing quietly in the background. The sell-off looks more like profit-taking after yesterday's $84.58 close than any real negative catalyst.
- October event contract volume (betting on real-world outcomes like elections and sports) is up — this is the new growth engine Wall Street is trying to size, and it's helping offset slower crypto trading.

WHY IT MATTERS

The $23B margin book is the story nobody's pricing correctly — at current short rates, that's roughly $1.5B+ in annualized high-margin interest revenue flowing straight to the bottom line. If the Fed holds rates higher-for-longer (which the dot plot suggests), this becomes a durable earnings tailwind that doesn't depend on trading volume at all. Meanwhile, the bullish options flow (put/call at 0.50, meaning 2x more bets on the stock going up than down) combined with 79.5% institutional ownership tells me big money is accumulating on weakness. The pullback today is noise — the setup for Q4 earnings looks strong unless crypto volumes completely collapse.

POLICY & POLITICAL WATCH

The biggest live wire for HOOD is the CFTC's posture on event contracts (prediction markets) — the Trump administration's CFTC has been dramatically more permissive than the Biden-era agency, letting HOOD and Kalshi run elections, sports, and economic data contracts. If Congress formalizes this with legislation (there's bipartisan chatter about a prediction markets framework), HOOD gets a defensible new revenue line worth billions. Watch also the pending SEC crypto rulemaking under the new leadership — the shift from "regulation by enforcement" to clear rules is a direct unlock for HOOD's crypto business, which is why management keeps leaning in despite current weakness.

IS IT EXPENSIVE?

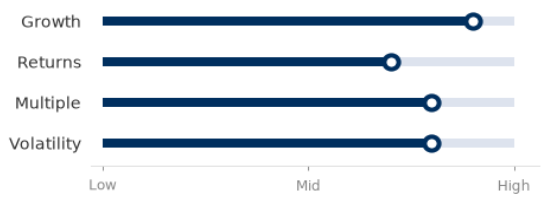
At $82 and ~42x forward earnings, you're paying $42 for every $1 of profit HOOD is expected to make next year — that's expensive versus Schwab (~18x) and Interactive Brokers (~25x), but cheaper than Coinbase. The premium is justified if event contracts and crypto scale as expected, but there's no margin for error. Translation: good company, fully-priced stock — you want to buy dips, not chase rips.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$82.33**
12M Price Target	**$88.00**
Upside / (Downside)	**+6.9%**
Market Cap	**$74.14B**
FY2026E Revenue	**$4,150M**
FY2027E Revenue	**$5,020M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.45**
Fwd P/E	**42.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | November 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$92.00**	$84.00	**$74.00**
6 Months	**$110.00**	$90.00	**$68.00**
1 Year	**$130.00**	$88.00	**$60.00**
2 Years	**$170.00**	$110.00	**$55.00**
5 Years	**$280.00**	$160.00	**$45.00**
10 Years	**$500.00**	$240.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +5% on the week) — likely geopolitics plus winter demand. Capital markets names broadly still have tailwinds from deregulation under the current administration.

COOLING OFF: Financials (-0.48% today) — rate-cut expectations pressuring bank net interest margins, though ironically this doesn't hurt HOOD as much because their margin loans reprice fast.

ROTATION WATCH: Money is drifting from high-multiple fintech into cyclicals and energy today — classic "take profits in winners, add to laggards" behavior. Not a thesis-breaker, just a rotation day.

RELATED PLAY: If you believe the prediction markets story, Kalshi is private but IBKR (Interactive Brokers) is a cleaner, cheaper way to play retail trading growth without the crypto/meme volatility.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Mixed today but holding up as the market debates its "next phase" — Wall Street is trying to figure out if it's a crypto play or a financial infrastructure play.
- IBKR (Interactive Brokers): Steady grinder benefiting from the same margin-balance tailwind as HOOD but at half the multiple.

HOOD CONTEXT: HOOD is lagging the broader financials sector today but has outperformed dramatically year-to-date. When a stock has had this big a run, a 2-3% pullback on no real news is healthy — it's not a tell.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — great business momentum, but the stock is up huge and valuation leaves little room for disappointment.

POSITION SIZE: 2-4% — enough to matter if the super-app thesis plays out, small enough that a crypto crash doesn't wreck your portfolio.

ENTRY POINTS: I'd be a buyer on pullbacks to $72-76 (roughly the 50-day average), and aggressive at $65 if we get a broader market shake.

TIME HORIZON: 12-18 months, with Q4 earnings (late January) and any CFTC/Congressional action on prediction markets as the key catalysts.

WHEN TO BAIL: If event contracts get regulated away, margin balances drop below $18B, or the stock breaks $70 on heavy volume — that's the trend change signal.

HEDGING: If you own it and want protection, pair it with a small short in Coinbase — that way you're betting on HOOD specifically winning, not just "crypto going up."

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